



Intro: This chapter presents the basics of insurance and how it works as a tool for risk transfer .

Life Insurance – History and evolution

History of Insurance in India



Modern insurance in India began in early 1800 or thereabouts



It began with agencies of foreign companies starting marine insurance business

The first life insurance company in India

was an English company

The Oriental Life Insurance Co. Ltd

The first non-life insurance company

established in India

Triton Insurance Co. Ltd.

The first Indian insurance company

was formed in 1870 in Mumbai

Bombay Mutual Assurance Society Ltd.

The oldest insurance company in India

was founded in 1906 & still in business

National Insurance Company Ltd.



Chapter 1 Introduction to Insurance

Life Insurance Companies Act, 1912 was passed to regulate insurance business

Insurance Act, 1938 was the first legislation enacted to regulate conduct of insurance companies

Nationalisation of life insurance

- Life insurance business was nationalised on 1st September, 1956
- The **Life Insurance Corporation of India (LIC)** was formed.

Nationalisation of non-life insurance

- The non-life insurance business was nationalised with the enactment of General Insurance Business Nationalisation Act (GIBNA) in 1972,
- The **General Insurance Corporation of India (GIC)** and its four subsidiaries were set up

Insurance Regulatory and Development Authority (IRDA)

- The passing of the Insurance Regulatory & Development Act, 1999 (IRDA) led to the formation of **Insurance Regulatory and Development Authority (IRDA)** in April 2000 as a statutory regulatory body both for life and non-life insurance industry.

Chapter 1 Introduction to Insurance

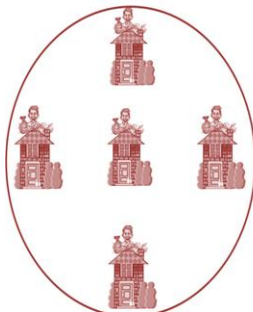
How insurance works

Insurance



Process where losses of a few are shared by others
exposed to similar uncertain events / situations

Insurance
process



House owners Contributing
Premium

Insurance
Company



Claim Settlement

Risk burdens that
one carries

Primary
burden of risk

Secondary
burden of risk



Risk management techniques

Risk management techniques

Risk avoidance

Risk retention

Risk reduction and
control

Risk financing

Insurance is one of the major forms of risk transfer, and it permits uncertainty to be replaced by certainty through insurance indemnity

Insurance vs Assurance

Insurance

- Refers to protection against an event that **might** happen
- Provides cover against a risk

Assurance

- Refers to protection against an event that **will** happen
- Covers an event that is definite
- Assurance policies are associated with life cover



How insurance indemnifies the insured

Step 1



Individual has taken
motor insurance

Step 2



Individual meets with an accident

Step 3



Individual makes a claim

Step 4



Insurance company indemnifies individual



Insurance as a tool for managing risk

Considerations before opting for insurance

Don't risk a lot for a little

Don't risk more than what you can afford to lose

Consider the likely outcomes of the risk carefully



Intro: This chapter explains the various components of life insurance

Life insurance business – Components, human life value, mutuality

Asset: Human Life Value (HLV)

HLV concept considers human life as a kind of property or asset that earns an income

It measures the value of human life based on an individual's expected net future earnings

Typical concerns faced by ordinary people

Dying too early

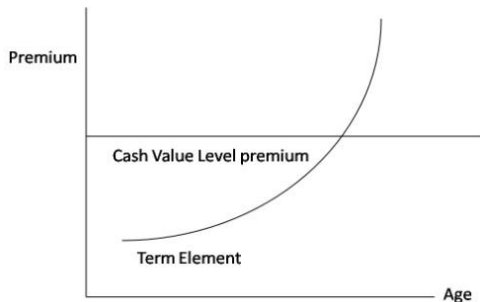
Living too long

Living with disability



Chapter 2 What Life Insurance Involves

The level premium is a premium fixed such that it does not increase with age but remains constant throughout the contract period.



Level premium has two components

Term or protection component

It consists of that portion of premium actually needed to pay the cost of the risk

Cash value element

It is made up of accumulated excess payments of the policyholder. It constitutes the savings component



Chapter 2 What Life Insurance Involves

Mutuality & Diversification



Mutuality is one of the important ways to reduce risk in financial markets, the other being **diversification**

Diversification

Under diversification the funds are spread out among various assets (placing the eggs in different baskets).

Under diversification we have funds flowing from one source to many destinations

Mutuality

Under mutuality or pooling, the funds of various individuals are combined (placing all eggs in one basket).

Under mutuality we have funds flow from many sources to one



Intro: This chapter explains the elements that govern the working of a life insurance contract and also deals with the special features of a life insurance contract.

Insurance contracts – Legal aspects and special features

Insurance contract

Insurance involves a contractual agreement in which the insurer agrees to provide financial protection against certain specified risks for a price or consideration known as the premium

The contractual agreement takes the form of an insurance policy

Elements of a valid contract

Offer and acceptance

Consideration

Agreement between parties

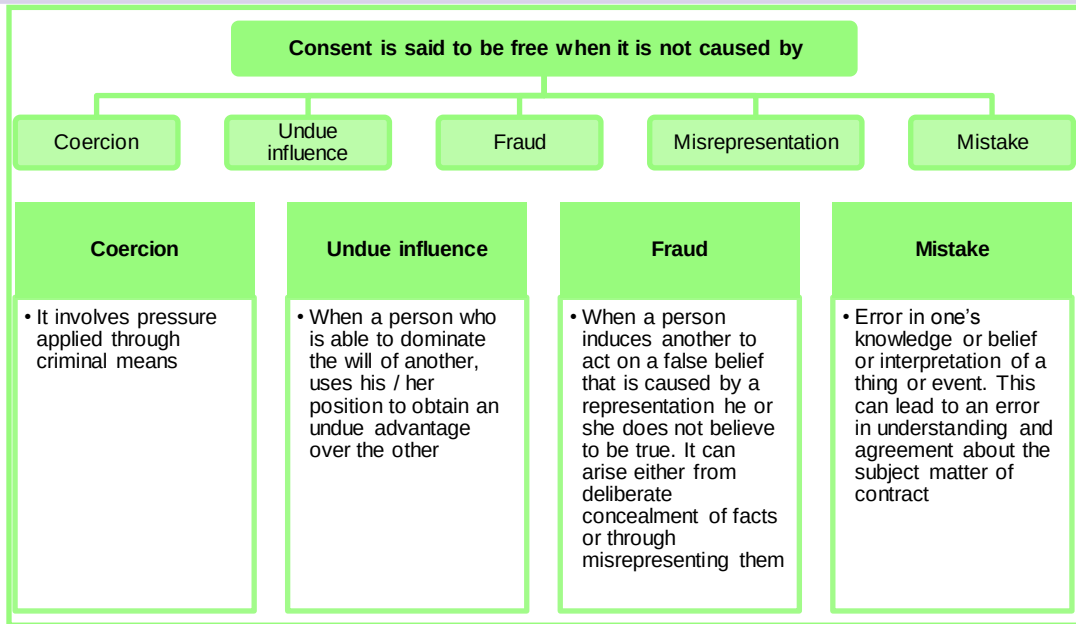
Free consent

Capacity of the parties

Legality



Chapter 3 Legal Principles of Life Insurance





**Uberrima Fides or
Utmost Good Faith**

It means that every party to the contract must disclose all material facts relating to the subject matter of insurance

It is defined as involving "a positive duty to voluntarily disclose, accurately and fully, all facts material to the risk being proposed, whether requested or not"

If utmost good faith is not observed by either party, the contract may be avoided by the other

Material facts

It has been defined as a fact that would affect the judgment of an insurance underwriter in deciding whether to accept the risk and if so, the rate of premium and the terms and conditions



Insurable interest can be in

Self (Own life)

Spouse's life

Children's life

Asset/s owned

Proximate cause

It is defined as the active and efficient cause that sets in motion a chain of events which brings about a result, without the intervention of any force started and working actively from a new and independent source



Chapter 4 Financial Planning

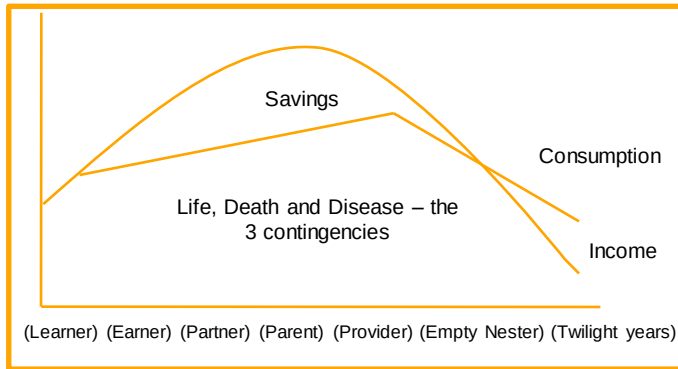
Intro: Life insurance must be understood in the wider context of “Personal Financial Planning”. The purpose of this chapter is to introduce the subject of financial planning

Financial planning and the individual life cycle

Financial Planning

It is a process of identifying one's life's goals, translating these identified goals into financial goals and managing one's finances in ways that will help one to achieve those goals

The Economic Life Cycle





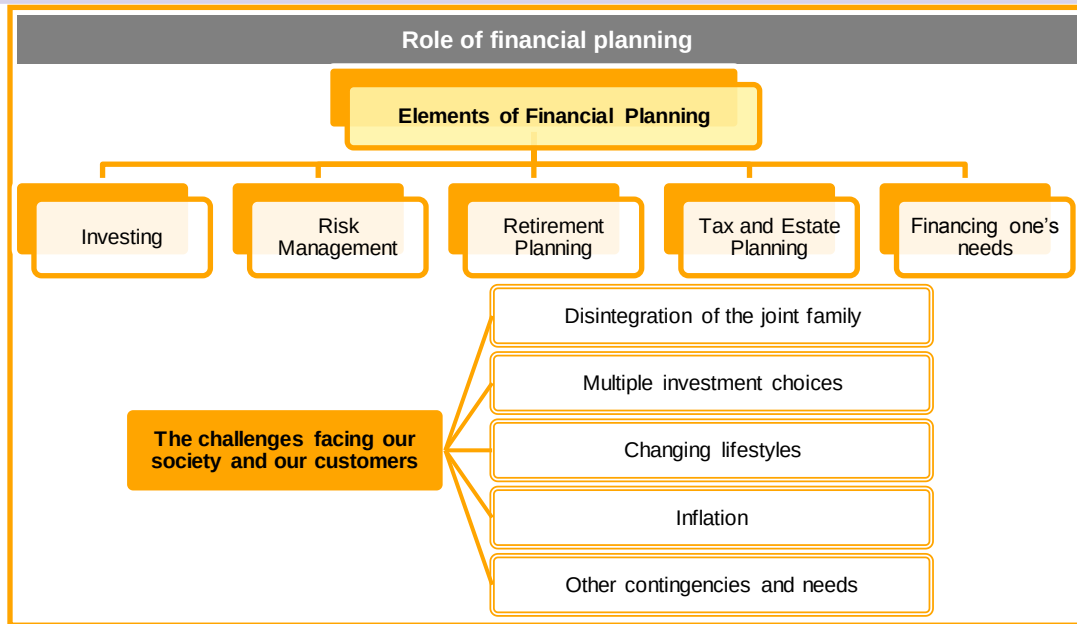
Savings may be considered as a composite of two decisions

Postponement of consumption: an allocation of resources between present and future consumption.

Parting with liquidity in exchange for less liquid assets. E.g. purchase of a life insurance policy implies exchanging money for a contract which is less liquid. Financial planning includes both kinds of decisions.

Life Stages

Childhood stage	When one is a student or learner
Young unmarried stage	When one has begun to earn a livelihood but is single
Young married stage	When one has become a partner or spouse
Married with young children stage	When one has become a parent
Married with older children stage	When one has become a provider who has to take care of education and other needs of children who are growing older
Post family/Pre-retirement stage	When the children may have become independent and left the house, just as birds leaving an empty nest behind
Retirement stage	When one passes through the twilight years of one's life. One could live with dignity if one has saved and made sufficient provisions





Financial planning - Types

Financial Planning Advisory Services

Cash
Planning

Investment
Planning

Insurance
Planning

Retirement
Planning

Tax
Planning

Estate
Planning

Parameters on which investment decisions are based

Diversification

Tax
Considerations

Risk Tolerance

Time Horizon

Liquidity

Marketability

Phases of retirement

Accumulation

Conservation

Distribution



Intro: This chapter discusses products in general, need for life insurance products and the role they play in achieving various life goals. It also discusses some traditional life insurance products.

Overview of life insurance products

What is a product?

From a marketing standpoint, a **product** is a **bundle of attributes**

The difference between a product (as used in a marketing sense) and a commodity is that a product can be differentiated. A commodity cannot.

Products may be

Tangible

Intangible

Life insurance is a product that is intangible

Customer value would depend on how life insurance is perceived as a solution to a set of customer needs.

A **rider** is a provision typically added through an endorsement, which then becomes a part of the contract.



Traditional life insurance products

Traditional Life Insurance Products

Term Insurance
Plans

Whole Life
Insurance Plans

Endowment
Insurance Plans

Variants of Term Assurance

Decreasing term
assurance

Increasing term
assurance

Term assurance with
return of premiums

Whole Life Insurance

There is no fixed term of cover but the insurer offers to pay the agreed upon death benefit when the insured dies, no matter whenever the death might occur

A whole life policy is a good plan for one who is the main income earner of the family and wishes to protect the loved ones from any financial insecurity in case of premature death

Term insurance policy

A term insurance policy comes handy as an income replacement plan

Considerations: Price is the primary basis of competitive advantage in term assurance plans



Chapter 5 Life Insurance Products - I

Endowment Assurance: Combination of 2 plans:

A term assurance plan

Pays the full sum assured in case of death of the insured during the term

A pure endowment plan

Pays this amount if the insured survives at the end of the term

Money back plan

It is typically an endowment plan with the provision for return of a part of the sum assured in periodic installments during the term and balance of sum assured at the end of the term

The unique selling proposition (USP) of term assurance is its low price, enabling one to buy relatively large amounts of life insurance on a limited budget



Intro: This chapter discusses non-traditional life insurance products.

Overview of non-traditional life insurance products

Limitations of Traditional Life Insurance Products

Cash value component

- The savings or cash value component in traditional life insurance policies is not well defined

Rate of return

- It is not easy to ascertain what would be rate of return on traditional life insurance policies

Surrender value

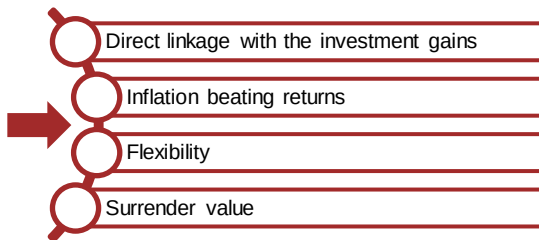
- The cash and surrender values (at any point of time), under these contracts depend on certain values (amount of actuarial reserve and the pro-rata asset share of the policy)

Yield

- Finally there is the issue of the yield on these policies



Appeal: Major sources of appeal of the new genre of products that emerged worldwide are



Non-traditional life insurance products

Universal Life Insurance

Universal life insurance is a form of permanent life insurance characterised by its **flexible premiums, flexible face amount and death benefit amounts, and the unbundling of its pricing factors**

Non-traditional life insurance products

Variable insurance plans

Unit linked insurance plans



Break-up of ULIP Premium

Expenses

Mortality

Investment

Investment fund options offered by ULIPs

Equity Fund	Debt Fund	Balanced Fund	Money Market Fund
This fund invests major portion of the money in equity and equity related instruments.	This fund invests major portion of the money in Government Bonds, Corporate Bonds, Fixed Deposits etc.	This fund invests in a mix of equity and debt instruments.	This fund invests money mainly in instruments such as Treasury Bills, Certificates of Deposit, Commercial Paper etc.



Chapter 7 Pension and Annuities

Intro: This chapter discusses pension & annuity products, types of annuities and pension related contingencies

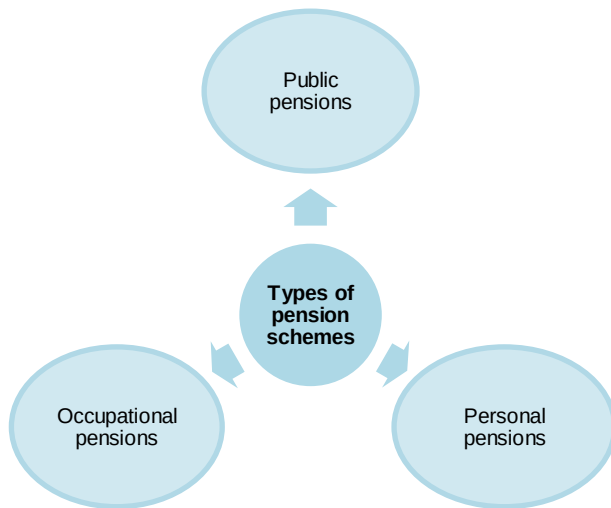
Types of pension

Difference between life insurance products and pension products

Life insurance products	Pension products
Purpose of product: Life insurance products have been designed basically to provide protection against the financial consequences of an individual's early and premature death.	Pension products provide protection against the financial consequences that may arise when the individual lives too long and thus outlives one's financial resources.
Contingency covered: In case of life insurance, the basic contingency covered is that of mortality.	In case of pensions it is post-retirement income discontinuity.
Product structure: In the case of life insurance, a stream of premium payments results in creation of a capital sum, known as the sum assured. This sum is payable to the individual's nominees or beneficiaries in the event of death of the individual, or may be paid as a survival benefit at the end of the term in the case of endowment policies.	In the case of pensions, a capital sum, which we may call a corpus or total consideration gets liquidated in part or whole through its conversion into a stream of regular income payments. These are known as annuities.



Chapter 7 Pension and Annuities





Chapter 7 Pension and Annuities

Classification of annuities

Basis of classification of annuities

How the annuity is purchased

How often the annuity is paid

When the annuity payment is due to begin

Length of the payout period

Whether the annuity amount is fixed or variable

Types of Annuities

Immediate Annuities

An annuitant receives payments after making an initial investment. In an immediate annuity, an individual pays a lump sum and begins to receive income one annuity period later

Deferred Annuities

With a deferred annuity, money is invested for a period of time until the annuitant is ready to receive annuities. The deferred annuity accumulates money for the term chosen by the individual



Chapter 7 Pension and Annuities

Pensions – The value proposition

Pension related contingencies

Longevity risk

Inflation

Investment risk

Replacement income risk



Intro: This chapter explains health insurance concepts, domiciliary hospitalisation, family floater policies and group health insurance policies.

Health insurance policies

Health insurance

- It is a contract between the insurer and the insured wherein the insurer agrees to pay hospitalisation expenses to the extent of an agreed sum insured in the event of any medical treatment arising out of an illness or an injury

Family floater policies

- The sum insured floats among the family members. Family floaters usually cover husband, wife and two children

Cashless facility

- This means a facility extended by the insurer to the insured where the payments of the costs of treatment undergone by the insured in accordance with the policy terms and conditions, are directly made to the network provider by the insurer to the extent pre-authorisation approved

Group health insurance policy

- This policy is available to groups/ associations/ institutions/ corporate bodies, provided they have a central administration point and are subject to a minimum number of persons to be covered. The group must belong to a category that is approved



Expenses covered under health insurance include

Cost of
room / bed

Boarding
expenses

Nursing
expenses

Doctor's
fees

Diagnostic
tests

Operation
theatre
charges

Expenses
related to
surgical
appliances
and the like

Terms in health insurance

Third Party Administrators (TPA)

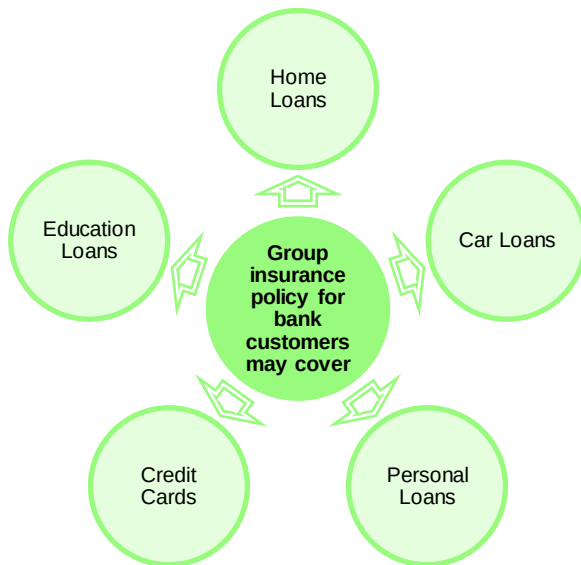
- It means any person who is licensed under the IRDA (Third Party Administrators - Health Services) Regulations, 2001 by the Authority, and is engaged, for a fee or remuneration by an insurance company, for the purposes of providing health services

Portability

- It is the right accorded to an individual health insurance policyholder (including family cover), to transfer the credit gained for pre-existing conditions and time bound exclusions, from one insurer to another insurer or from one plan to another plan of the same insurer, provided the previous policy has been maintained without any break



Chapter 8 Health Insurance





Chapter 9 Applications of Life Insurance

Intro: This chapter discusses various applications of life insurance.

Applications of life insurance

**Married
Women's
Property
Act**



Section 6 of the Married Women's Property Act, 1874 provides for security of benefits under a life insurance policy to the wife and children. Section 6 of the Married Women's Property Act, 1874 also provides for creation of a Trust

Beneficiaries under Section 6 of MWP Act

Wife alone

Wife and one or
more children jointly

One or more children



Chapter 9 Applications of Life Insurance

Key man Insurance



It can be described as an insurance policy taken out by a business to compensate that business for financial losses that would arise from the death or extended incapacity of an important member of the business

Mortgage Redemption Insurance (MRI)



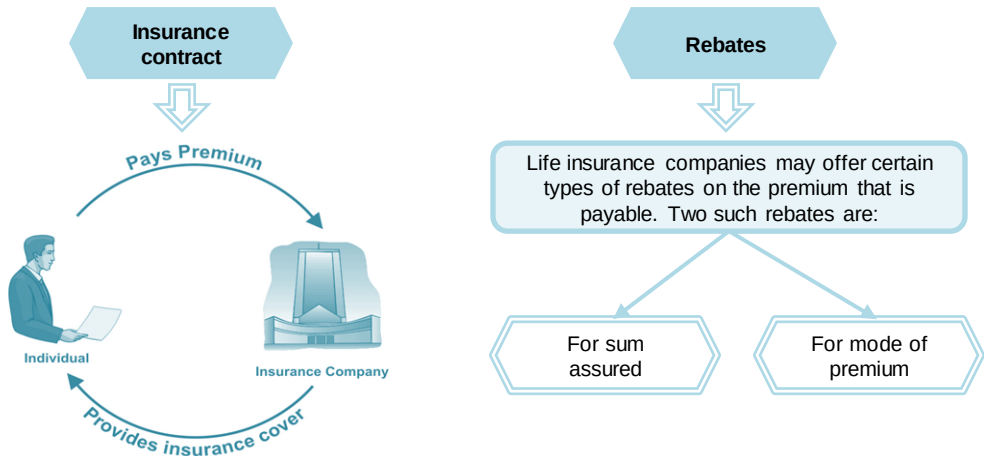
It is an insurance policy that provides financial protection for home loan borrowers. It is basically a decreasing term life insurance policy taken by a mortgagor to repay the balance on a mortgage loan if he / she dies before its full repayment



Chapter 10 Pricing and Valuation in Life Insurance

Intro: This chapter illustrates the basic elements that are involved in the pricing and benefits of life insurance contracts

Insurance pricing – basic elements





Chapter 10 Pricing and Valuation in Life Insurance

Components of Premium

Mortality

Interest

Expenses of
management

Reserves

Bonus loading

Guiding Principles
for determining
Amount of Loading



Adequacy

Equity

Competitiveness

Gross premium = Net premium + Loading for expenses + Loading for contingencies + Bonus loading



Chapter 10 Pricing and Valuation in Life Insurance

Surplus and Bonus

Determination of surplus and bonus

Every life insurance company is expected to undertake a periodic valuation of its assets and liabilities. Such a valuation has two purposes:

To assess the financial state of the life insurer, in other words to determine if it is solvent or insolvent

To determine the surplus available for distribution among policyholders / share holders

Surplus

Surplus is the excess of value of assets over value of liabilities. If it is negative, it is known as a strain

$$\text{Surplus} = \text{Assets} - \text{Liabilities}$$

Assets are valued in one of the following three ways

At Book Value

- This is the value at which the life insurer has purchased or acquired its assets

At Market Value

- The worth of the life insurer's assets in the market place

Discounted Present Value

- Estimating future income stream from various assets & discounting them to present



Chapter 10 Pricing and Valuation in Life Insurance

Bonus



Bonus is paid as an addition to the basic benefit payable under a contract. Typically it may appear as an addition to basic sum assured or basic pension per annum

Types of Reversionary Bonuses

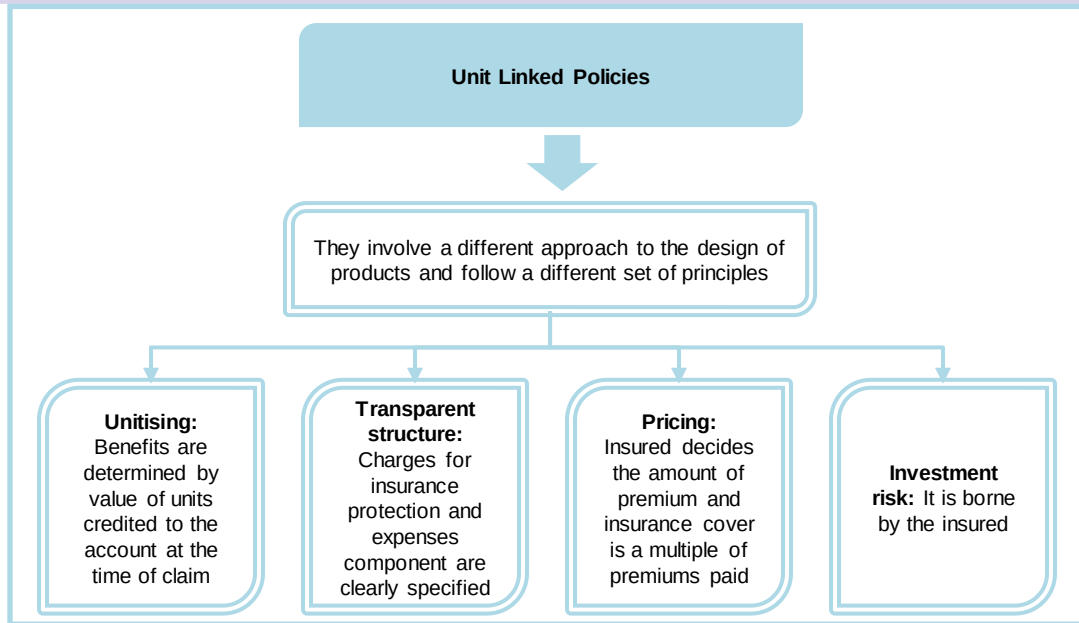
Simple Reversionary
Bonus

Compound Bonus

Terminal Bonus



Chapter 10 Pricing and Valuation in Life Insurance





Intro: This chapter discusses the various documents that are involved at the proposal stage and their significance.

Life insurance – Proposal stage documentation

Prospectus

It is a formal legal document used by insurance companies that provides details about the product

Prospectus used by a life insurance company should state the following, under each of its plans of insurance:

Terms and conditions

Scope of benefits – guaranteed and non-guaranteed

Entitlements

Exceptions

Whether the plan is participative or non-participative



Proposal Form



The insurance policy is a legal contract between insurer and the policyholder. As is required for any contract, it has a proposal and its acceptance. The application document used for making the proposal is commonly known as the 'proposal form'

Moral hazard



It is the likelihood that a client's behaviour might change as a result of purchasing a life insurance policy and such a change would increase the chance of a loss



**Anti-Money
Laundering (AML)**

It is the process of bringing illegal money into an economy by hiding its illegal origin so that it appears to be legally acquired. The Government of India launched the PMLA, 2002 to rein in money-laundering activities

Valid age proof

Standard age proofs

- School or college certificate
- Birth certificate extracted from municipal records
- Passport
- PAN card
- Service register
- Certificate of baptism
- Certified extract from a family bible if it contains the date of birth
- Identity card in case of defence personnel
- Marriage certificate issued by a Roman Catholic Church

Non-standard age proofs

- Horoscope
- Ration card
- An affidavit by way of self-declaration
- Certificate from Village Panchayat



Each insurer is required to have an AML policy and accordingly file a copy with IRDA. The AML program should include:

Internal policies,
procedures and
controls

Appointment of a
principal
compliance officer

Recruitment and
training of agents
on AML measures

Internal
audit/control

**Know Your
Customer
(KYC)**

It is the process used by a business to verify the identity of their clients



Agents should ensure that proposers submit the proposal form along with the following as part of the KYC procedure

Photographs

Age proof

Proof of address –
driving license,
passport, electricity
bill, bank passbook
etc.

Proof of identity –
driving license,
passport, voter ID
card, PAN card, etc.

Income proof
documents in
case of high-
value
transactions



Intro: This chapter discusses the various documents involved when a proposal becomes a life insurance policy.

Policy stage documentation

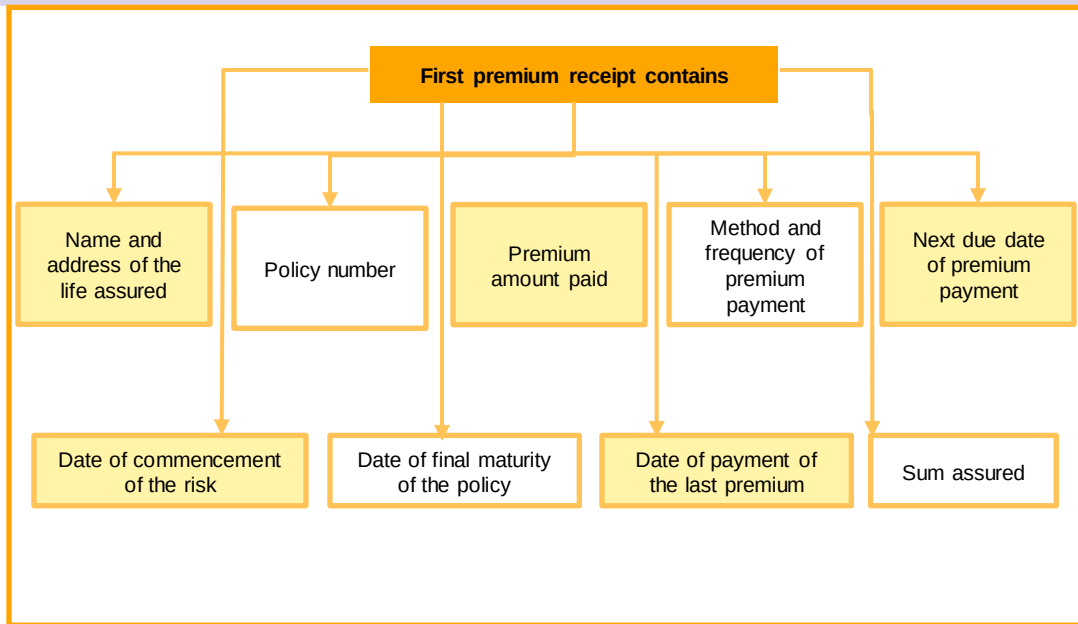
First Premium Receipt (FPR)

An insurance contract commences when the life insurance company issues a FPR

The FPR is the evidence that the policy contract has begun



Chapter 12 Documentation – Policy Condition: I





Policy Document

It is evidence of the contract between the assured and the insurance company

Policy document components

Policy Schedule

Standard Provisions

Specific Policy Provisions



Chapter 13 Documentation – Policy Condition: II

Intro: This chapter discusses the provisions incorporated in a policy document.

Policy conditions and privileges

Grace period

The “Grace Period” clause grants the policyholder an additional period of time to pay the premium after it has become due

The standard length of the grace period is one month or 31 days

Reinstatement

It is the process by which a life insurance company puts back into force a policy that has either been terminated because of non-payment of premiums or has been continued under one of the non-forfeiture provisions

Policy revival measures

Ordinary revival

Loan cum revival

Special revival

Instalment revival



Chapter 13 Documentation – Policy Condition: II

Nomination

Nomination is where the life assured proposes the name of the person(s) to whom the sum assured should be paid by the insurance company after their death

A nominee does not have any right to the whole (or part) of the claim

Provisions of Section 39 (Nomination)

Nomination can be made when the policy is bought or thereafter

Nomination is not applicable to Section 6 of MWP Act

Policy moneys payment is made to surviving nominee/s

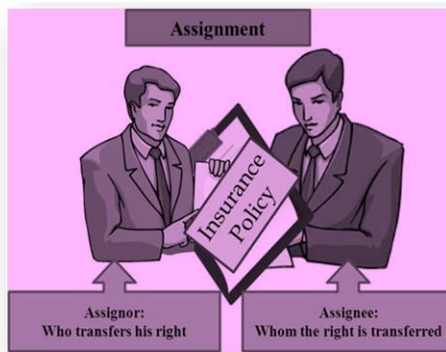
Assignment cancels nomination

Addition, change or cancellation of nomination is allowed

Nomination shall be by endorsement

Assignment

The term assignment ordinarily refers to transfer of property by writing as distinguished from transfer by delivery



Types of Assignment

Conditional Assignment

- Conditional assignment provides that the policy shall revert back to the life assured on his or her surviving the date of maturity or on death of the assignee

Absolute Assignment

- Absolute assignment provides that rights, title and interest of the assignor in the policy are transferred to the assignee without reversion to the former or his / her estate in any event
- The policy vests absolutely with the assignee. The latter can deal with the policy in whatever manner he or she likes without the consent of the assignor



Chapter 13 Documentation – Policy Condition: II

Provisions of Section 38 (Assignment)

Assignment has to be by endorsement

Assignment notice should be in writing

Insurer should record and register assignment

Assignment cancels nomination

Assignment should be supported by valuable consideration

Assignee can do another assignment

Main types of alterations

Change in certain classes of insurance or term

Reduction in the sum assured

Change in the mode of payment of premium

Change in the date of commencement of the policy

Splitting up of the policy into two or more policies

Removal of an extra premium or restrictive clause

Change from without profits to with profits plan

Correction in name

Settlement option for payment of claim and grant of double accident benefit



Intro: This chapter discusses the process of underwriting and the elements involved in the process.

Underwriting – Basic concepts

Underwriting purpose

To prevent anti-selection or selection against the insurer

To classify risks and ensure equity among risks

Risk classification

Standard
lives

Preferred
risks

Substandard
lives

Declined
lives

Underwriting or the selection process

Field or Primary level

Underwriting
department level

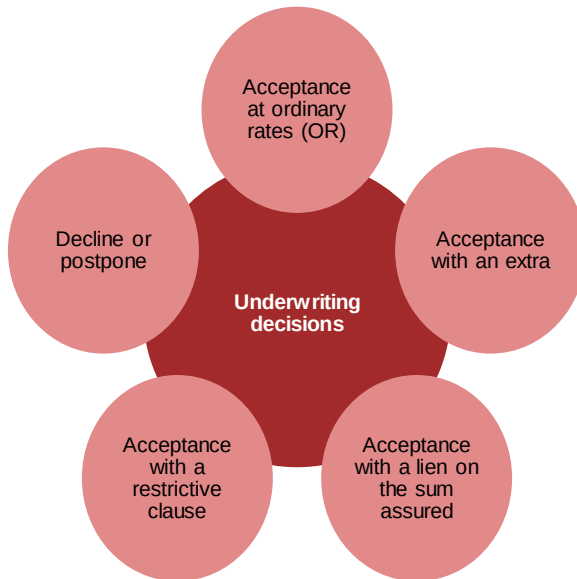
Methods of Underwriting

Judgment Method

Numerical Method



Chapter 14 Underwriting





Non-medical underwriting

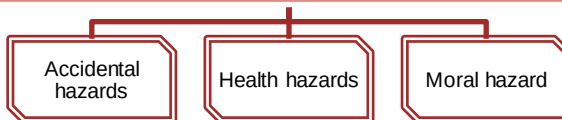
Non-medical underwriting

- A large number of life insurance proposals may typically get selected for insurance without conducting a medical examination to check the insurability of a life to be insured. Such cases are termed as **non-medical proposals**

Rating factors in underwriting

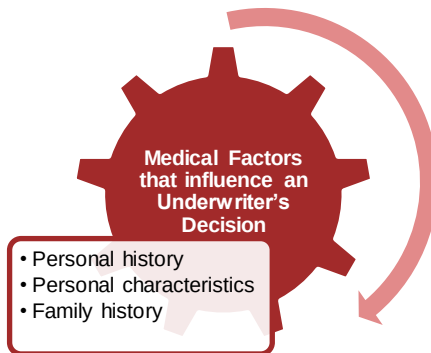
- Factors like income, occupation, lifestyle and habits, which contribute to moral hazard, are assessed as part of **financial underwriting**, while medical aspects of health are appraised as part of **medical underwriting**

Occupational hazards can emanate from any of three sources





Medical underwriting





Chapter 15 Payments Under A Life Insurance Policy

Intro: This chapter explains the concept of claim and how claims are ascertained.

Types of claims and claim procedure

Claim

A claim is a demand that the insurer should make good the promise specified in the contract

While a **death claim** arises only upon the death of the life assured, **survival claims** can be caused by one or more events

A **maturity or death claim** or a surrender leads to termination of the insurance cover under the contract and no further insurance cover is available

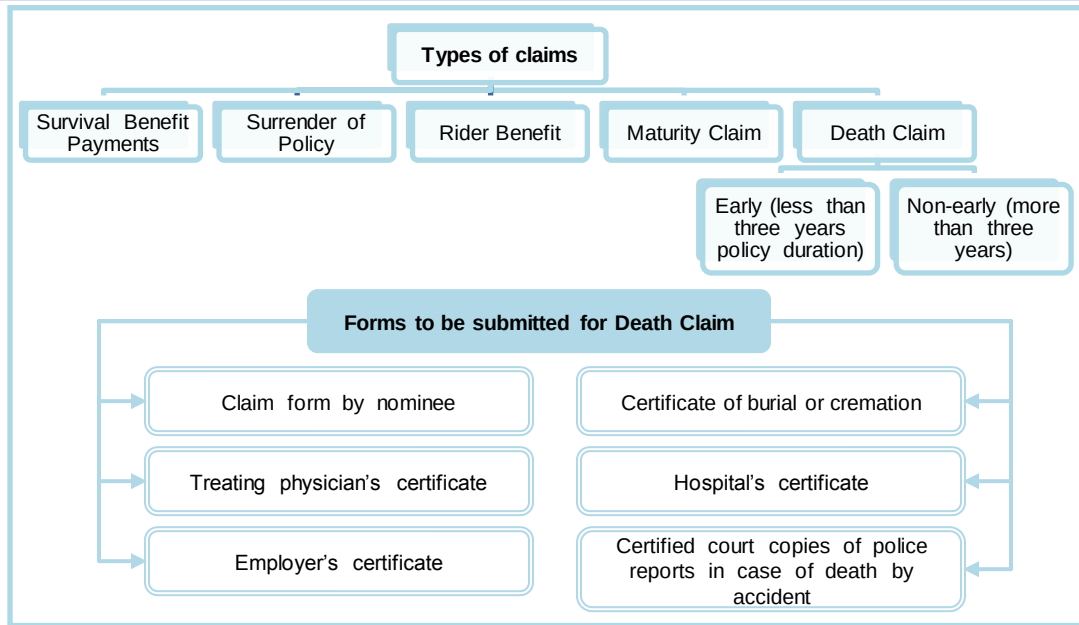
Claims can be

Survival Claims

Death Claims



Chapter 15 Payments Under A Life Insurance Policy





Chapter 16 Regulatory Aspects

Intro: This chapter explains the importance of insurance regulations, the legal status of an insurance agent and various rules and regulations applicable to agents.

Insurance regulations and regulatory framework

**Insurance
regulations**

→ The prime purpose of insurance regulation is to protect the policyholder

Entities regulated by IRDA

Agents

Insurance
Companies

Third Party
Administrators

Surveyors

Brokers

Corporate
Agents

The Insurance Act, 1938 has provisions for monitoring and control of operations of insurance companies



Chapter 16 Regulatory Aspects

IRDA regulations prescribe insurers' obligations

at the point of
sale

towards policy
servicing

claims servicing

control on
expenses,
investment

financial strength
to meet the
commitments to
policyholders



Regulations and code of conduct applicable to insurance agents

Regulations applicable to insurance agents

As per the Insurance Act, 1938 (Section 42), to work as an insurance agent, one must have a licence

IRDA deals with issuance of licences and other matters relating to agents recruitment

There are regulations which must be complied with at all stages in the process



Qualifications of the applicant

- The applicant must possess the minimum qualification of a pass in **12th Standard or equivalent examination**, where the applicant resides in a place with a population of five thousand or more as per the last census, and a pass in **10th Standard or equivalent examination** from a recognised Board / Institution if the applicant resides in any other place

Practical training

- The first time applicant for agency licence shall have completed from an IRDA approved institution, at least, **fifty hours'** practical training in life **or** general insurance business, which may be spread over two to three weeks

Examination

- The applicant shall have passed the pre-recruitment examination in life or general insurance business, or both, as the case may be, conducted by the **Insurance Institute of India, Mumbai**, or any other 'examination body'

Fees payable

- The fees payable to the Authority for issue / renewal of licence to act as insurance agent or composite insurance agent shall be Rs. Two Hundred and Fifty or as amended from time to time



Chapter 17 Life Insurance Agency as a Career

Intro: This chapter discusses life insurance agency as a career.

Insurance Channels

Agent

- As per Section 182 of the Indian Contract Act, an **agent** is a person employed to do any act for another or to represent another in dealing with a third person

Principal

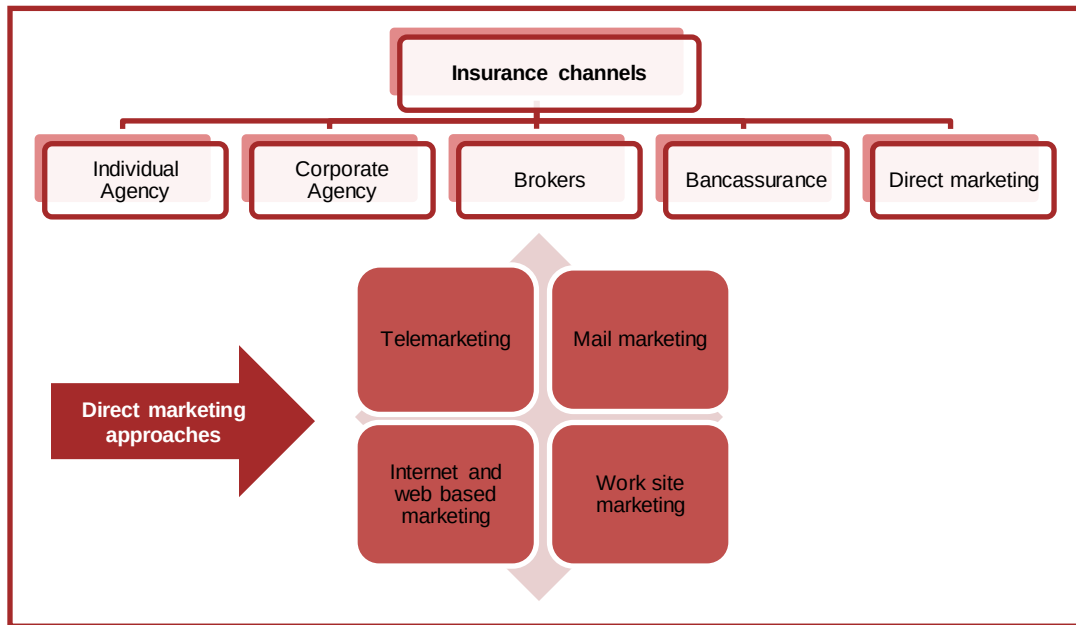
- The person for whom such act is done or who is represented is called the **principal**

Insurance agent

- As per the Insurance Act, an agent is one who is licensed under Section 42 of the Act, authorised to be a salesman for insurance, and is paid commissions for soliciting, procuring and continuance of the business



Chapter 17 Life Insurance Agency as a Career





Chapter 17 Life Insurance Agency as a Career

Life insurance agency profession

Rewards of an agency career in life insurance

Being **recognised by the society** as a knowledge worker and a professional

Being **able to provide solutions** to some of the most critical problems of people around is a matter of immense social value that life insurance agents enjoy

Being **able to help people by advising them to take the right policy** to cover their death or old age needs or an accident or an illness or meet other family needs can be a matter of immense personal satisfaction for life insurance agents

They can **become very skilled in dealing with various kinds of people**

Finally, the life insurance agency is one of the few avocations where **one can be an entrepreneur**



Requirements for success in the life insurance agency profession

Fire in the belly

Positive self-image

Being a self-starter

Ability to relate with
and communicate with
people

Ethics and market conduct

The term 'Ethics' is used to denote a set of principles for morally correct behaviour

Basic ethical principles to be followed

Do good and avoid
harm

Be fair

Keep your word

Be true to yourself



Chapter 17 Life Insurance Agency as a Career

Major areas of unethical behaviour in insurance sector

Misrepresentation

Illustrations

Replacement

Advice



Chapter 17 Life Insurance Agency as a Career

Principles of the Insurance Marketplace Standards Association (IMSA)

Principle 1	To conduct business according to high standards of honesty and fairness and to render that service to its customers which, in the same circumstances, it would apply to or demand for itself.
Principle 2	To provide competent and customer-focused sales and service.
Principle 3	To engage in active and fair competition.
Principle 4	To provide advertising and sales material that is clear as to purpose and honest and fair as to content.
Principle 5	To provide for fair and expeditious handling of customer complaints and disputes.
Principle 6	To maintain a system of supervision and review that is reasonably designed to achieve compliance with these principles of ethical market conduct.



Chapter 17 Life Insurance Agency as a Career

Recruitment, training and licensing of agents

Guidelines on persistency for individual agents

Persistency during a period has been defined as
“proportion of policies remaining in force at the end of the
period out of the total policies in force at the beginning of
the period.”

Agency function consists of two distinctive tasks:

Building a relation with the customer – which inspires trust and confidence

Providing expert financial advice to the customer – which enables the latter to
meet his or her needs for insurance in the most appropriate manner



Chapter 18 Life Insurance Selling Process

Intro: This chapter illustrates the life insurance selling process and its various steps.

Sales process

Selling

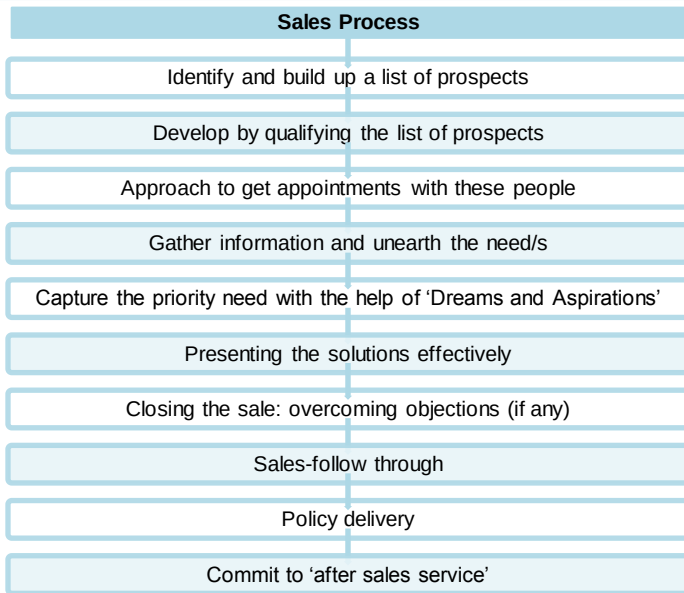
Selling as a profession refers to the act of inducing a commercial transaction through inducing the purchase of a product or service, such act being carried out with the intent of earning remuneration

Insurance agents are sales persons who seek to induce members of the community to buy insurance contracts written by the insurance company that they represent

The remuneration they enjoy in return is known as a commission



Chapter 18 Life Insurance Selling Process





Reference

- It is a name of another potential prospect which is provided as a lead, by your client or prospect or centre of influence or any other person, whom you may be able to support with your solutions

Testimonial

- It is a kind of statement which one may seek from a satisfied customer, affirming that the latter has done business with the salesperson and has been very satisfied with the services and solutions rendered

Qualified prospects

- **"Qualified" prospects** are those people :
 - who can pay for insurance,
 - who can pass the company underwriting requirements,
 - who have one or more needs for insurance products, and
 - who can be approached on a favourable basis

Need Analysis Method

- In need analysis method we do the following things:
 - the present and the future needs of the family are analysed;
 - the monetary value of these needs are then calculated;
 - the difference between the funds so needed to meet these needs and the available fund with the family as at present is ascertained



Handling objections through LAPAC

- One of the important techniques that one can use for handling objections is known as **LAPAC (Listen, Acknowledge, Probe, Answer and Confirm)**

Closing the sale

- **Closing** is the process of persuading the prospect to buy now. The key to successful closing lies in helping the prospect to want to say "yes"

Commitment to service

- Service on the part of the agent is an integral element of the sales cycle. Essential to a commitment to service is a structured program for maintaining contact with our clients. Such a program could consist of:
 - Conveying clearly
 - Committing to continuous contact
 - Annual service review plan



Intro: This chapter explains the importance of customer service, the role of agents in providing service to customers and how to communicate and relate with the customer.

Importance of customer service

'SERVQUAL' highlights five major indicators of service quality

Reliability

Responsiveness

Assurance

Empathy

Tangibles

Customer lifetime value

It may be defined as the sum of economic benefits that can be derived from building a sound relationship with a customer over a long period of time



Customer lifetime value

Historical Value

Premiums and other revenues that have been received in the past from customer

Present Value

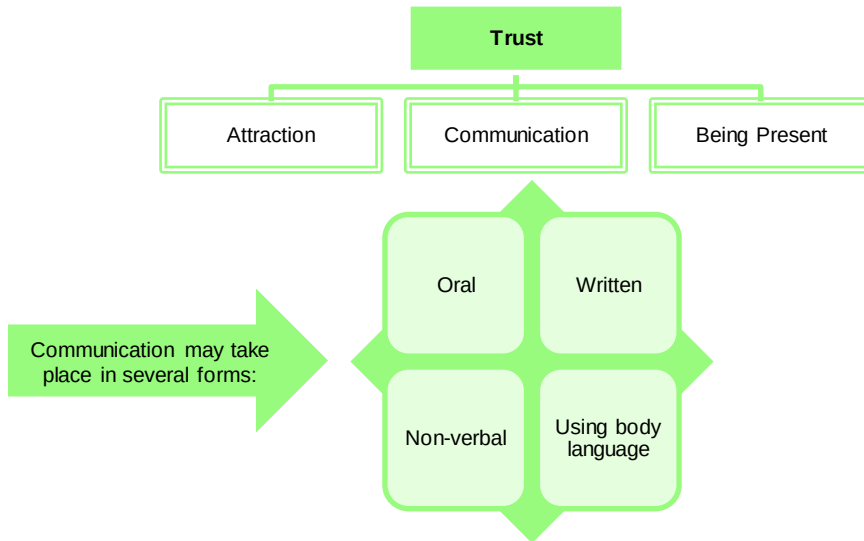
Present value of future premiums that may be expected to be received if existing business is retained

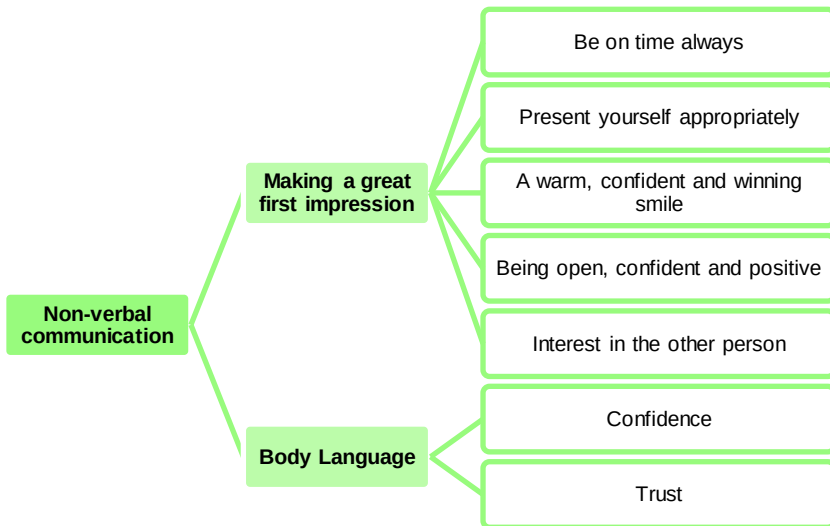
Potential Value

The value of premiums that could be derived by persuading the customer to buy additional products



Communication skills







Active Listening

is where we consciously try to hear not only the words but also, more importantly, try to understand the complete message being sent by another

Elements of active listening

Paying
Attention

Demonstrating
that you are
listening

Provide
feedback

Not being
Judgmental

Responding
appropriately

Empathetic
listening



Chapter 20 Grievance Redressal Mechanism

Intro: This chapter explains Grievance Redressal Mechanism and IRDA guidelines for it.

Grievance redressal mechanism

Integrated Grievance Management System (IGMS)

- IRDA has launched IGMS which acts as a central repository of insurance grievance data and as a tool for monitoring grievance redress in the industry

The Consumer Protection Act, 1986

- The Act was passed “to provide for better protection of the interest of consumers and to make provision for the establishment of consumer councils and other authorities for the settlement of consumer’s disputes”.
- The Act has been amended by the Consumer Protection (Amendment) Act, 2002
- “Consumer disputes redressal agencies” are established in each district and state and at national level



Chapter 20 Grievance Redressal Mechanism

Judicial Channels

National Commission

Established by central government by notification

Entertains: complaints, where value of the goods or services and compensation, is any, claimed exceeds Rs. 1 Crores and appeals against the order of any State Commission

State Commission

Established by state government by notification

Entertains: complaints where the value of goods/services and compensation, if any, claimed exceeds Rs. 20 lakhs but does not exceed Rs. 100 lakhs and appeals against the order of any district forum within the state

District Forum

Established by state government in each district

Entertains: complaints, where value of the goods or services and the compensation claimed is up to Rs.20 lakhs



The Insurance Ombudsman

The Ombudsman, by mutual agreement of the insured and the insurer can act as a mediator and counsellor within the terms of reference

The decision of the Ombudsman, whether to accept or reject the complaint, is final



Chapter 20 Grievance Redressal Mechanism

